IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

CA(CAA)NO.22/BB/18
Under Section 230 to 232 of Companies Act, 2013

IN THE MATTER OF
AMAZON IT SERVICES (INDIA) PRIVATE LIMITD
AND
AMAZON DEVELOPMENT CENTRE (INDIA) PRIVATE LIMITED
Order delivered on:24th April, 2018

Coram: Hon'ble Shri Rajeswara Rao Vittanala, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

For the Petitioner (s) Cyril Amarchand Mangaldas
201, Midford House,
Midford Garden, Off.M.G.Road,
Bengaluru-560001

Per: Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

Heard on: 13.4.2018, 24.4.2018

ORDER

This is a Joint Application filed by the applicant companies namely Amazon IT Services (India) Private Limited (Applicant Company No.1/ Transferor Company) and Amazon Development Centre (India) Private Limited (Applicant Company No.2/ Transferee Company) under Section 230 to 232 of Companies Act, 2013 read with Rule 3 Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, praying to dispense with convening of meeting of Shareholders and Unsecured Creditors of the Applicant Companies No.1 & 2 for considering the Scheme of Amalgamation, where under Amazon IT Services (India) Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Amazon Development Centre (India) Private Limited (Applicant Company No.2/ Transferee Company). The Scheme of Amalgamation is shown as **Annexure-1**.

The averments made in the Company Application are briefly described hereunder:-

The Applicants seek an order to dispense with convening of meeting of Shareholders and Unsecured Creditors of the Applicant Companies No.1 & 2 for considering the scheme of Amalgamation where under the Amazon IT Services (India) Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Amazon development

Centre (India) Private Limited (Applicant Company No.2/ Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-1**.

This Application is filed on behalf of the applicant companies stating that the Applicant Company No.1/ Transferor Company was incorporated on 13th October, 2006 under the name and style of Amazon IT Services (India) Private Limited with Registrar of Companies, Andhra Pradesh. Subsequently on 25th April, 2016 the registered office of the company was shifted from the State of Andhra Pradesh to the State of Karnataka having CIN No.U72200KA2006PTC087278. The Registered office of the Transferor Company is situated at 8th Floor, Brigade Gateway, 26/1, Dr.Rajkumar Road, Bangalore-560055.

The main objects of the Applicant Company No.1/Transferor Company is to produce, develop, manufacture, purchase, sell, transfer, process, distribute, acquire, market, hire, license, use, create, operate, fabricate, construct, assemble, dispose, install, train, educate, design, develop, program, support, advertise, research, test, record, maintain, repair, upgrade, recondition, convert, alter, improve, service, design, import and export computer software, computer software applications, e-commerce software solutions and e-supply chain services, advanced software products, and to generally carry on the business of providing total computer solutions, whether in India or abroad, for Amazon group of companies or nay other companies whether in India or abroad. The copy of Memorandum and Articles of Association of the Transferor Company is shown as **Annexure-2**.

The latest authorised share capital of the Applicant Company No.1/Transferor Company is Rs.400,00,00,000/- divided into 40,00,00,000 Equity Shares of Rs.10/- each. The issued, subscribed and paid-up capital of the Transferor Company is Rs.307,21,07,200/- divided into 30,72,10,720 Equity Shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-3**.

It is further stated that Applicant Company No.2/ Transferee Company was incorporated on 29th June, 2004 under the name and style of Amazon Software Development Centre (Bangalore) Private Limited with Registrar of Companies, Karnataka. Subsequently on 27th May, 2005 the name of the Applicant Company No.2/Transferee Company was changed to Amazon Development Centre (India) Private Limited having CIN no: U72200KA2004FTC034233. The Registered office of the Transferee Company is situated at No.26/1, Brigade World Trade Centre, 10th Floor, Dr.Rajkumar Road, Malleshwaram(W),l Bangalore-560055.

The main objects of the Transferee Company is to carry on to produce, develop, manufacture, purchase, sell, transfer, process, distribute, acquire, market, hire, license, use, create, operate, fabricate, construct, assemble, dispose, install, train, educate, design, develop, program, support, advertise, research, test, record, maintain, repair, upgrade, recondition, convert, alter, improve, service, design, import and export computer software, computer software applications, e-commerce software solutions and e-supply chain services, advanced software products, and to generally carry on the business of providing total computer solutions, whether in India or abroad, for Amazon group of companies or nay other companies whether in India or abroad.. The copy of Memorandum and Articles of Association of the Transferee Company is shown as **Annexure-11**.

The latest authorised capital of the Transferee Company is Rs.5,00,000/- divided into 50,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up capital is Rs.1,18,990/- divided into 11,899 equity shares of Rs.10/- each. The Audited balance sheet as on 31st March, 2017 is shown as **Annexure-12.**

It is further stated that, the Board of Directors of the Transferor Company and Transferee Company have approved and adopted a Scheme of Amalgamation at their meetings held on 29th January, 2018 respectively by virtue of which Amazon IT Services (India) Private Limited (Applicant Company No.1/ Transferor Company) is proposed to be merged with Amazon Development Centre (India) Private Limited (Applicant Company No.2/ Transferee Company) subject to confirmation. Copies of the Board Resolution of Transferor and Transferee Company dated 29th January, 2018 approving and adopting the Scheme of Amalgamation are shown as **Annexure-10 & 19**.

It is further averred in the scheme that the Board of Directors of the Transferor Company and Transferee Company are of the opinion that the amalgamation would result in following benefits:

1. Provide a stronger and wider capital and financial base for future growth/expansion.

2. Reduction in overheads, administrative, managerial and other expenditure, and bring about operational rationalization and operational efficiency.

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/ Transferor Company has certified that there are two equity shareholders as on 31st March, 2017 of the Applicant

Company No.1/ Transferor Company is shown as **Annexure-A in the memo dated 6th April, 2018.**

It is further stated that there are no Secured Creditors in the Applicant Company No.1/ Transferor Company as certified by the Chartered Accountant shown as **Annexure-A in the memo dated 6th April, 2018.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.1/ Transferor Company has certified that there are 40 Unsecured Creditors as on 30th November, 2017 of the Applicant Company No.1/ Transferor Company shown as **Annexure-8.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/Transferee Company has certified that there are two Equity shareholders as on 31st March, 2017 of the Applicant Company No.2/Transferee Company shown as **Annexure-A in the memo dated 6th April, 2018.**

It is further stated that there no Secured Creditors in the Applicant Company No.2/Transferee Company as certified by the Chartered Accountant shown as **Annexure-A in the memo dated 30th April, 2018.**

It is further stated that the Chartered Accountant after verification of the books of accounts, other records and documents of the Applicant Company No.2/Transferee Company has certified that there are 550 Unsecured Creditors as on 30th November, 2017 of the Applicant Company No.2/Transferee Company shown as **Annexure-17.**

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.1/Transferor Company shown as **Annexure-7** i.e., (i) Amazon Asia Pacific Holdings Private Limited holding 728,137,920 equity shares,(ii) Amazon.com, Inc holding 72,800 equity share.

We have seen the consent affidavits of the Two Equity shareholders of Applicant No.1/Transferor Company shown as **Annexure-16** i.e., (i) Amazon Asia Pacific Holdings Private Limited holding 11898 equity shares,(ii) Amazon.com, Inc holding 1 equity share.

It is stated that, the value of amounts due to unsecured creditors of the Applicant Company No.1/ Transferor Company is Rs.83,07,65,233/- and 93.3% of the unsecured

creditors representing value of Rs.77,52,85,458/- have given their consent to the Scheme. We have seen consent affidavits issued by the Unsecured Creditors shown as **Annexure-9.**

It is stated that, the value of amounts due to unsecured creditors of the Applicant Company No.2/Transferee Company is Rs.4,16,54,21,151/- and 92.84% of the unsecured creditors representing value of Rs.3,86,74,87,508/- have given their consent to the Scheme. We have seen consent affidavits issued by the Unsecured Creditors shown as **Annexure-18.**

The Applicant Companies are seeking an order to dispense with convening of meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies on the ground that, there are Two Equity shareholders, No Secured Creditor and 40 Unsecured Creditors in Applicant Company No.1 and Two Equity Shareholders, No Secured Creditor and 550 Unsecured Creditors in Applicant Company No.2 and all the Equity shareholders and 93.3% Unsecured creditors of the Applicant Company No.1 and all the Equity shareholders and 92.84% value of Unsecured Creditors of Applicant Company No.2 have given their consent by way of affidavits for the proposed scheme of amalgamation.

We have heard the Counsel appearing for the Applicant Companies. The Application is filed by the Applicant Companies which is a Transferee Company and Transferor Company for dispensing with the convening of meeting of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies for approving the Scheme of Amalgamation of Amazon IT Services (India) Private Limited (Applicant Company No.1/ Transferor Company) which is proposed to be merged with Amazon Development Centre (India) Private Limited (Applicant Company No.2/ Transferee Company) in terms of Scheme of Amalgamation shown as **Annexure-1**.

In the result, the application is allowed and holding of meeting of the Equity Shareholders and Unsecured Creditors is dispensed with. In any eventuality when the Applicant Companies approaches this Tribunal for seeking approval of the scheme it would be open for any person who is interested in the Scheme of Amalgamation to put forth their contentions before the Tribunal.

24/4/18

ASHOK KUMAR MISHRA
MEMBER, TECHNICAL

RAJESWARA RAO VITTANALA
MEMBER, JUDICIAL

NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 24.04.2018.

PRESENT: 1. Hon'ble member (J) **Shri Rajeswara Rao Vittanala,**
2. Hon'ble member (T) **Dr. Ashok Kumar Mishra,**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CA(CAA) No.22/BB/2018	For admission	230-232	M/s Amazon IT Services(India) Pvt Ltd	Cyril Amarchand Mangaldas		

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE
1	SHRUTI JERE SHARAN A KUKREJA FOR CYRIL AMARCHAND MANGALDAS 7022020508	APPLICANTS	

ORDER

Mr. Sharan A. Kukreja, Counsel for Petitioner is present.

Heard the Counsel. Orders reserved.

Member (T) **Member (J)**